20. Consider the following statements and identify the right ones.
    i. The finance commission is appointed by the President
    ii. The tenure of Finance commission is five years

    a) i only
    b) ii only
    c) both
    d) none

Answers

1	2	3	4	5	6	7	8	9	10
c	d	d	d	b	a	b	b	c	d
11	12	13	14	15	16	17	18	19	20
a	a	a	c	d	b	a	c	b	c

Part B

Two mark questions

21. Define public finance.
22. What is public revenue?
23. Differentiate tax and fee.
24. Write a short note on zero based budget.
25. Give two examples for direct tax.
26. What are the components of GST?
27. What do you mean by public debt?

Part C

28. Three mark questions:
29. Describe canons of Taxation.
30. Mention any three similarities between public finance and private finance.
31. What are the functions of a modern state?
32. State any three characteristics of taxation.
33. Point out any three differences between direct tax and indirect tax.
34. What is primary deficit?
35. Mention any three methods of redemption of public debt.

Part D

36. Five mark questions:
37. Explain the scope of public finance.
38. Bring out the merits of indirect taxes over direct taxes.
39. Explain the methods of debt redemption.

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